Wharton
University of Pennsylvania

Global Strategy: Class #1
Mapping the Global Arena
Ferrero Group

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What comes to your mind when you think about "Global Management"?

https://pollev.com/lspongeluppe



https://www.polleverywhere.com/free_text_polls/lGChtx9MZXpp5ZVMAkMXt

Is Globalization Over?

It's a Flat World, After All
(Friedman, 2005)

vs

Why the World Isn't Flat
(Ghemawat, 2007)



Oxford-Style Debate Rules

1. Motion: The debate is centered on a clear, debatable statement.

In this case: ***"Globalization is over."***

2. Teams: Proposition (For the motion) and **Opposition** (Against the motion). Each team typically consists of **2–3 speakers.**

3. Speaking Format: Each speaker has a fixed time limit (e.g., **3-4 minutes**) to present their case.

4. Audience Q&A: Audience members may ask questions or raise challenges after the main speeches (e.g., **10 minutes**).

5. Closing Statements: Each team gives a **1-minute** closing summary to reinforce their position and respond to key points.

6. Voting: Conduct an **initial vote** before the debate (show of hands). Conduct a **final vote** after the debate. **The winner** is the team that **swayed more audience members** to their side.

7. Rules of Engagement: No interruptions during speeches. Respectful, evidence-based argumentation. Speakers may use written notes, but should avoid reading full scripts or AI responses.

Is Globalization Over? It depends…

International Relations Main Theoretical Perspectives		
	Realism	**Liberalism**
Main Actor (Unity of Analysis)	States	States, multinational corporations, multilateral institutions, and individuals
Core Beliefs	Self-interested sovereign States compete for survival, security, and power	Spread of democracy, economic interdependence, international organizations assure peace
Main Instruments	Military power, war, and state diplomacy	International institutions and global trade
Nature of the I.R.	Conflictive	Cooperative
Is globalization still relevant?	Can exist if it does not threaten states survival and does not alter the international balance of power	Economic and social interconnectedness guarantees peace and prosperity to all

Note: Developed by the author, based on Baylis, Smith, and Owens (2008). "The Globalization of World Politics: An Introduction to International Relations". Ed. Oxford. 4th Edition.

Is Globalization Over? It depends…

International Relations Main Theoretical Perspectives	Realism	Liberalism	Marxism	Constructivism
Main Actor (Unity of Analysis)	States	States, multinational corporations, multilateral institutions, and individuals	Social classes	Ideas, social movements, and social identities
Core Beliefs	Self-interested sovereign States compete for survival, security, and power	Spread of democracy, economic interdependence, international organizations assure peace	International class struggle. Division of the world into core and peripheral areas. International capitalism (superstructure) works to preserve domination and exploration	International politics is shaped by persuasive ideas, collective values, culture, and social identities
Main Instruments	Military power, war, and state diplomacy	International institutions and global trade	Resistance, revolution, and emancipation	Ideas and values
Nature of the I.R.	Conflictive	Cooperative	Exploitative	Dubious
Is globalization still relevant?	Can exist if it does not threaten states survival and does not alter the international balance of power	Economic and social interconnectedness guarantees peace and prosperity to all	Its not a new phenomena, it is the continuing phase of capitalism's imperialistic expansion	It is the diffusion process of Western ideas and norms. It will suffer resistance from individuals and movements with different identities

Note: Developed by the author, based on Baylis, Smith, and Owens (2008). "The Globalization of World Politics: An Introduction to International Relations". Ed. Oxford. 4th Edition.

A Little About Me





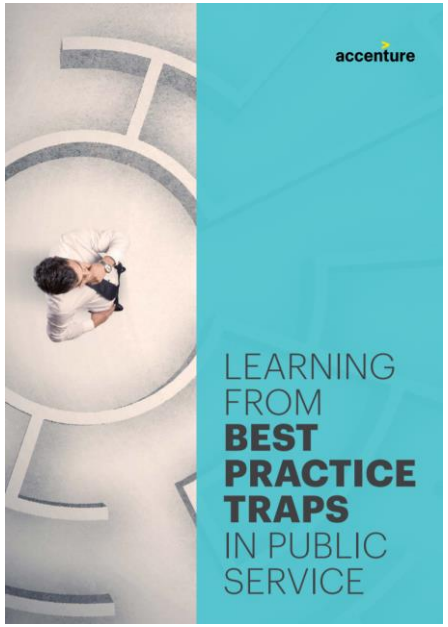






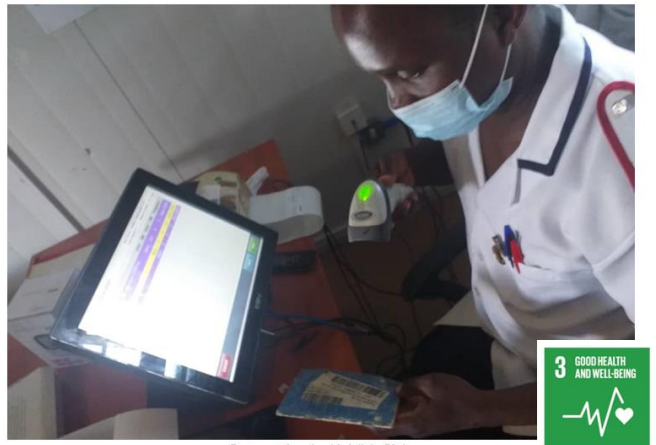






Insper METRICS





Picture taken by Abdallah Chilungo.

What to expect from this class…

Strange Brazilian accent

Typoos and grammar *many* mistakes

Neologisms, or better said, words that do not exist (at least not in English)

and …

Some Global Management content.

Please, stop me and ask for clarifications!

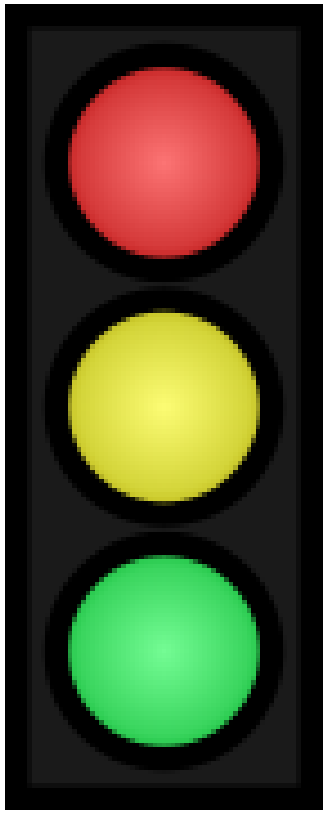


Pedagogical Approach

- Socratic learning method;
- Oxford-style debates (based on argumentation considering distinct points of view);
- Theory readings, cases, caselets, videos, podcasts, and documentaries;
- In-class short exercises;
- Ludic dynamics and funny examples;
- Open discussion involving country examples;
- Discussion even on “sensitive” topics;
- Respectful, well-argued reasoning is mandatory!
- **The main objective** is to help you navigate theories and frameworks and to critically reason about international management topics.



What We Are Trying to Solve in the Global Module

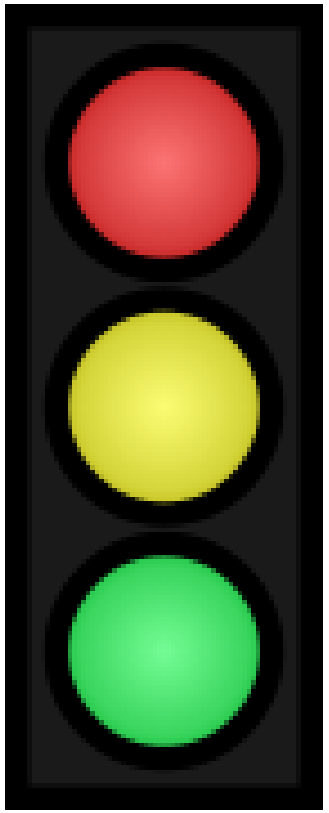


***Should* we go abroad?**

***Where* should we go?**

***How* should we go?**

What We Are Trying to Solve in the Global Module



***Should* we go abroad?**	• **ADDING Value** • **CIA:** Comparative Institutional Analysis	**- Ferrero Group** **- Corruption in International Business**
***Where* should we go?**	• **CAGE:** Culture, Administrative, Geographic, and Economic • **AAA:** Adaptation, Aggregation, and Arbitrage	**- European Super League** **- Apple** **- Zara**
***How* should we go?**	• **TCE:** Transaction Cost Economics • **SM:** Stakeholders Management	**- Walmart** **- McDonald's** **- Tata Group** **- Natura**

Roadmap of the Global Module

Class 1. Mapping the Global Arena: Ferrero Group case

Class 2. The Institutional Environment in Global Markets: Corruption podcast

Class 3. Distances in Global Market: European Super League caselet

Class 4. International Strategies and Governance Structures: Apple and Zara caselets

Class 5. International Strategies and Entry Modes: Walmart case and video

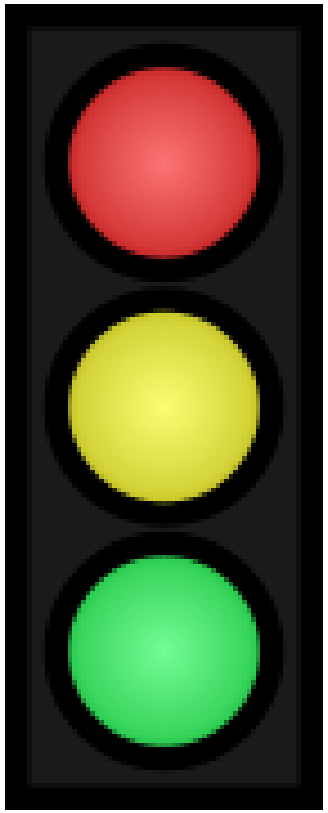
Class 6. Institutional Voids, Political Risk, and Business Groups: McDonald's video-case and Tata Group case

Class 7. Climate Change, Inclusive Innovation, and Stakeholder Management: Natura case

FERRERO



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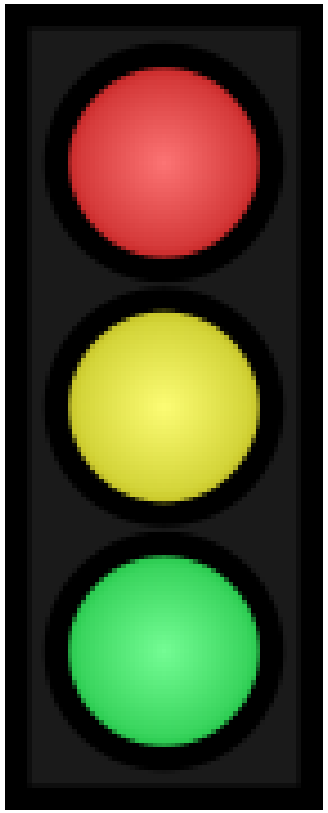


Why did Ferrero go global?

Where should Ferrero expand?

How should Ferrero expand?

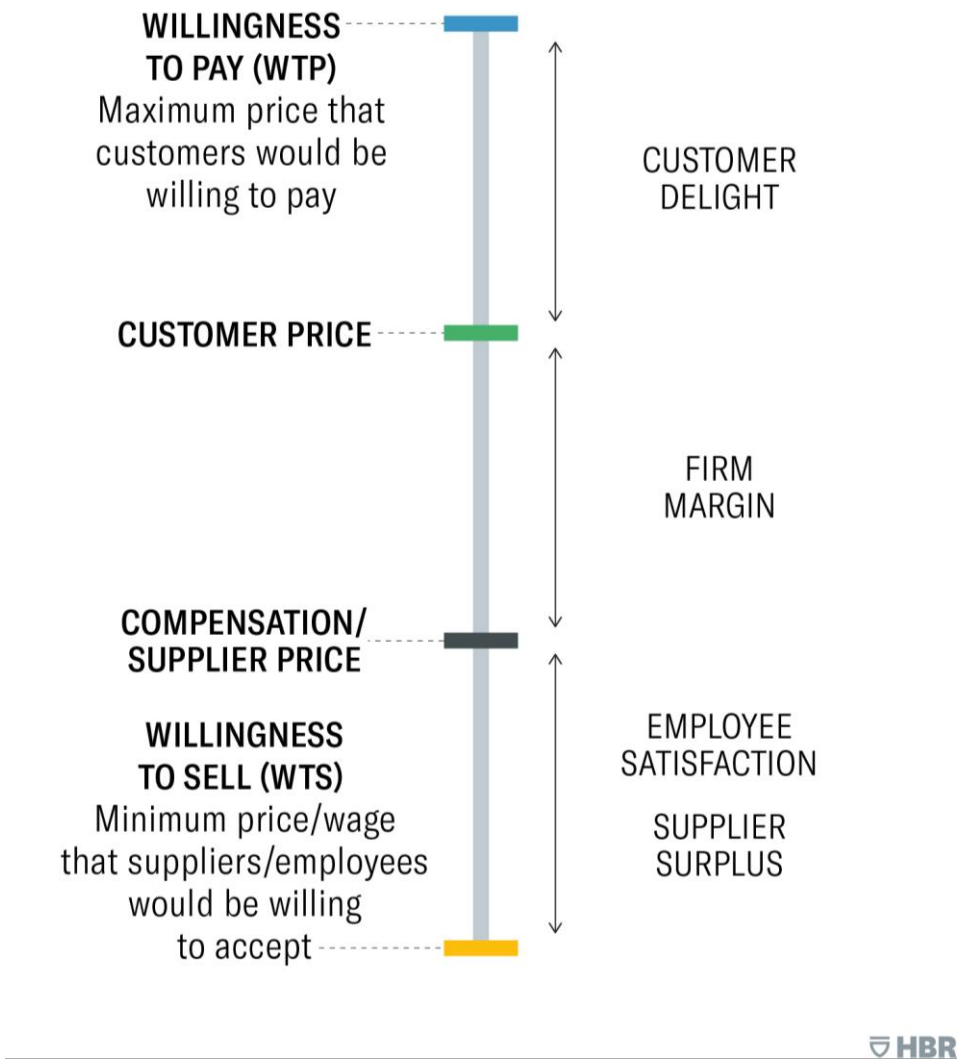
So...



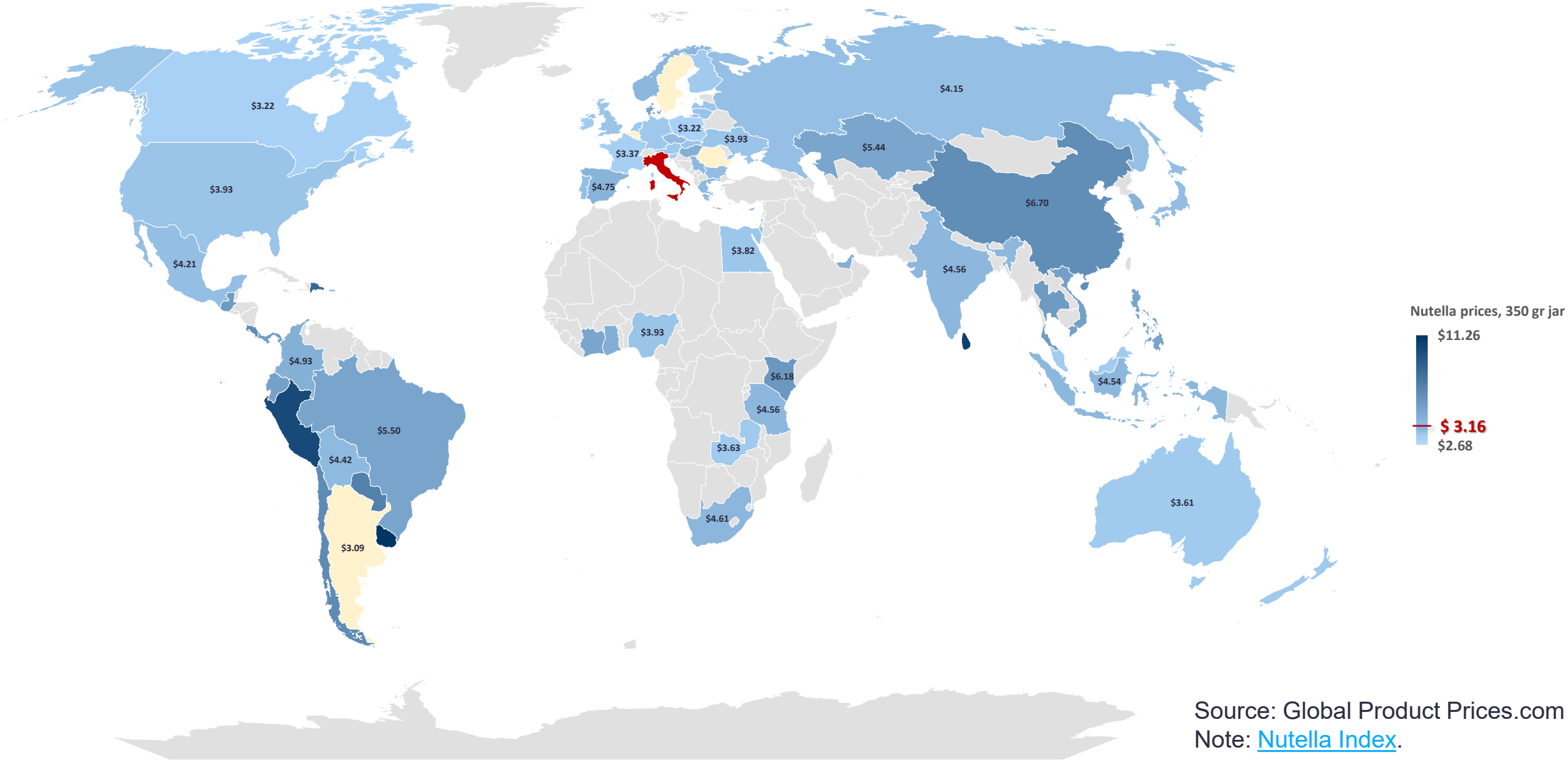
Why did Ferrero go global?

Why Expand: ADDING Value Framework

Adding Volume (Growth)
Decreasing Costs / Lower WTS
Differentiating / Increase WTP
Improving Industry Attractiveness
Normalizing Risk via Diversification
Generating and Upgrading Knowledge / Capabilities



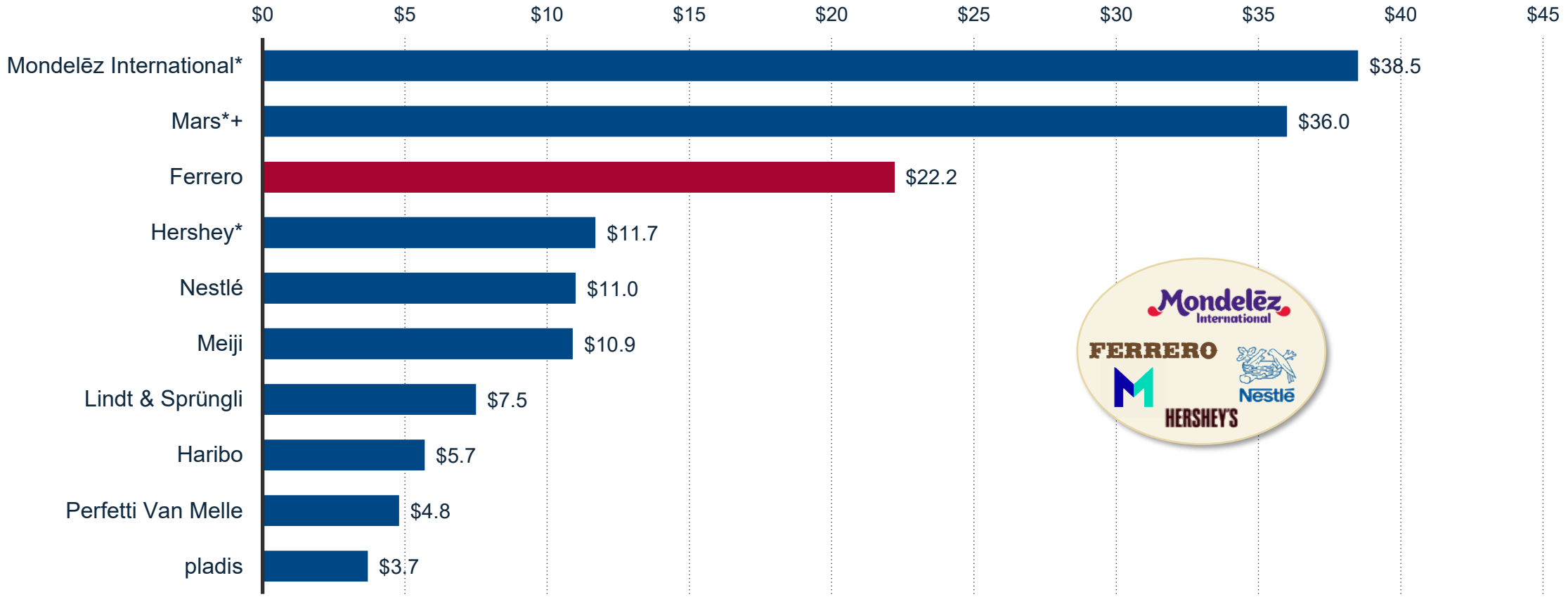
Nutella prices by country (U$ for 350gr jar, 2024 snapshot)



Source: Global Product Prices.com
Note: Nutella Index.

Cocoa and Chocolate Global Market: Leading Confectionery Companies by Sales

Leading **confectionery companies** worldwide, 2026 ranking (sales in US$ billion, latest fiscal year)



Note: * includes non-confectionery items; + includes Kellanova (acquired 2025). Mars is private; its figure is an estimate.
Source: Candy Industry Global Top 100, 2026 edition (Snack and Bakery, March 2026).

Adapted from Van Wassenhove et al. (2021), INSEAD Case 6604; data updated Oct 2026.

Why Expand: ADDING Value Framework

Adding Volume (Growth)	• Offload existing capacity through exports. Saturated domestic market? • Adding volume from other countries high demand
Decreasing Costs / Lower WTS	• Avoid transport costs and tariffs by producing in foreign markets? • Consolidation of suppliers and distributors – bargaining power
Differentiating / Increase WTP	• "Premium" chocolate enjoys higher margins: *"Advantage of Foreignness"*
Improving Industry Attractiveness	• Guarantee market position/concentration in the chocolate industry (barrier against new entrants) • Keeping up with Hershey's, Mars, Mondeléz, & Nestlé?
Normalizing Risk via Diversification	
Generating and Upgrading Knowledge / Capabilities	

Flashcards

Ferrero Acquires WK Kellogg Co for $3.1 Billion

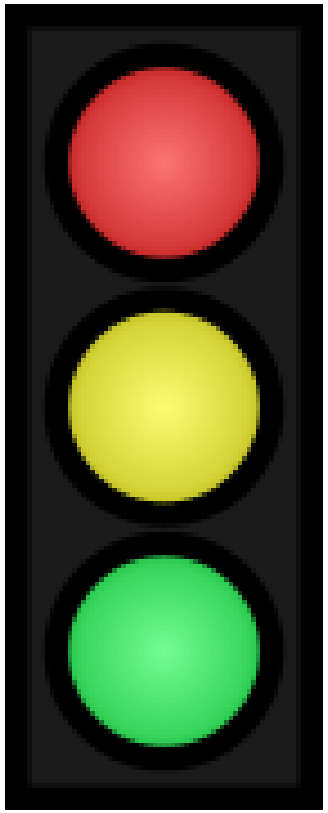
In September 2025, Ferrero completed its acquisition of WK Kellogg Co (Frosted Flakes, Froot Loops, Rice Krispies, Special K, Raisin Bran). The deal adds 3,000 employees and expands Ferrero into the North American breakfast cereal category, a 40% premium over trading price.

Sources: Ferrero Group and CNBC

Question: "Is paying a 40% premium justified by ADDING logic?"

ADDING ANALYSIS

A — Adding Volume: Access to $10B+ US cereal market. Breakfast is a new consumption occasion beyond snacking/confectionery.
D — Decreasing Costs: Shared North American distribution infrastructure with existing Ferrero brands (Nutella, Ferrero Rocher).
D — Differentiating: Combines premium confectionery positioning with everyday breakfast brands, full day coverage.
I — Industry: Consolidation in packaged foods; blocks competitors from acquiring Kellogg assets.
N — Normalizing Risk: Diversifies away from cocoa/hazelnut price volatility into grain-based products.
G — Knowledge: Gains cereal manufacturing, grain procurement, and US retail relationship expertise.



Where should Ferrero expand?



https://www.youtube.com/watch?v=hMIP_Moo0bE



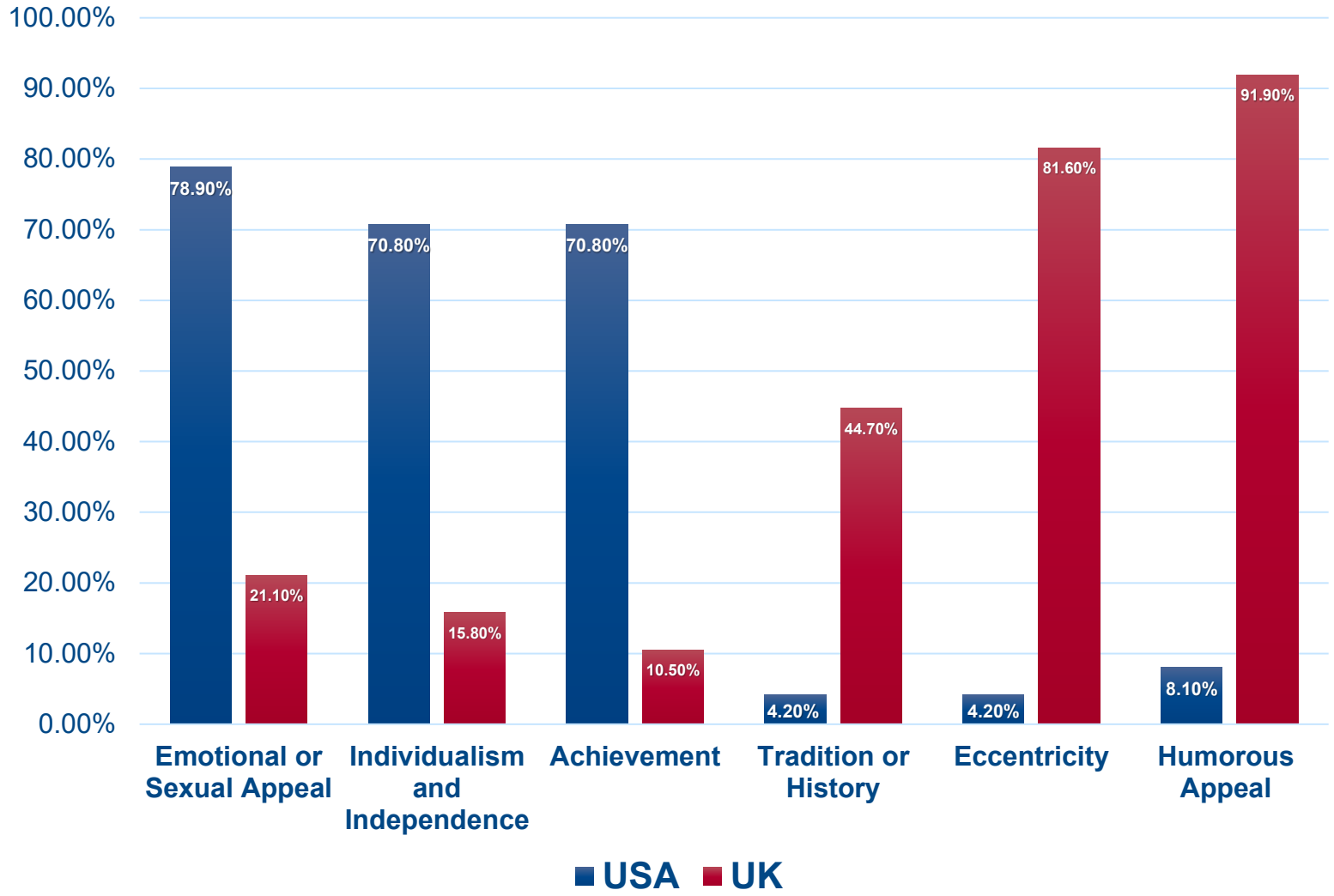
https://www.youtube.com/watch?v=T-qRH2srbL4

Cultural Differences in US vs. UK Commercials

"(…) Great Britain and the United States differ enough that a standardized advertising approach among the two countries may not be feasible.

The idea that consumers' needs and desires are basically the same everywhere and, by using a uniform marketing approach, an international advertiser can enhance its economic effectiveness clearly will not work in all markets or for all products."

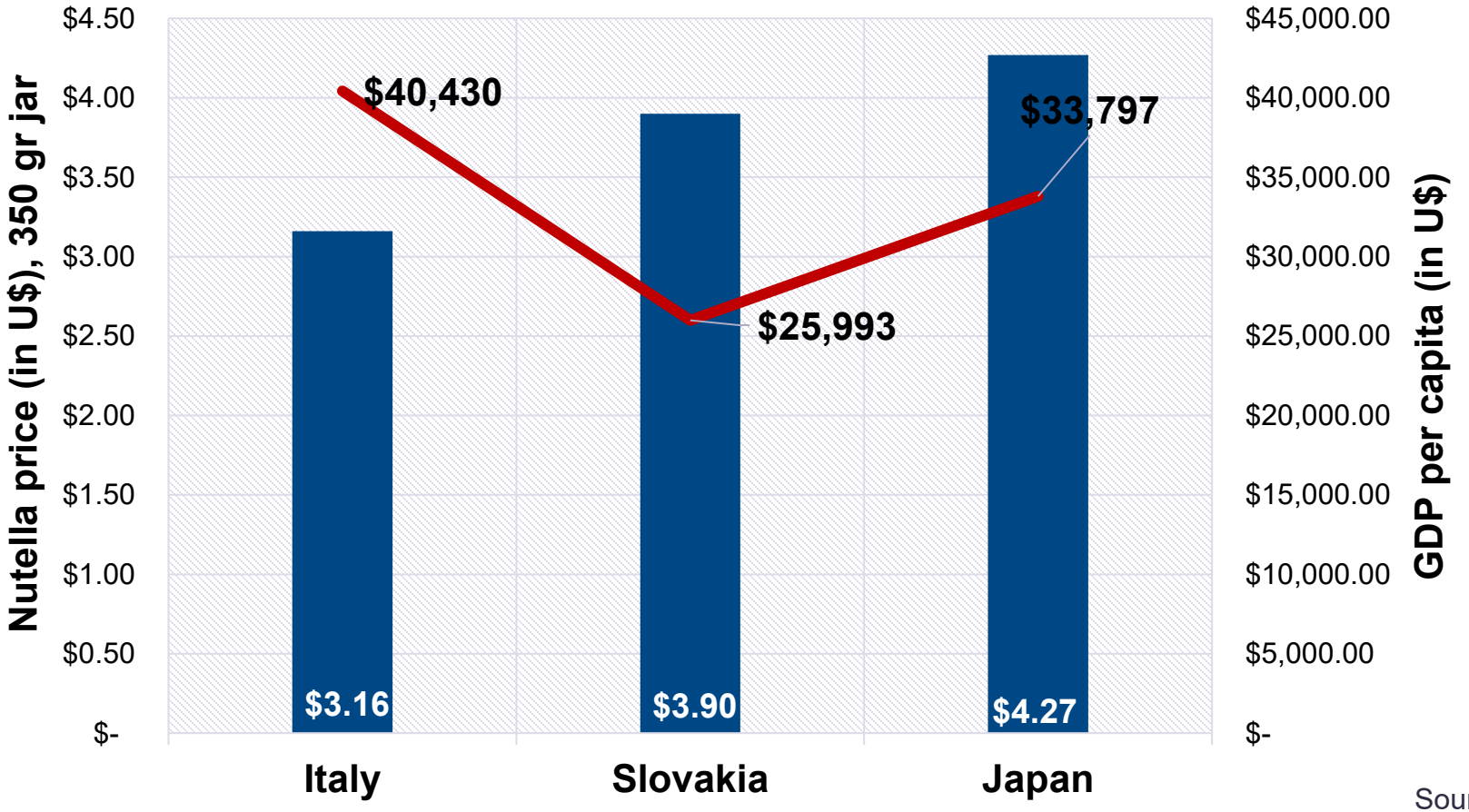
(Caillat & Mueller, 1996)



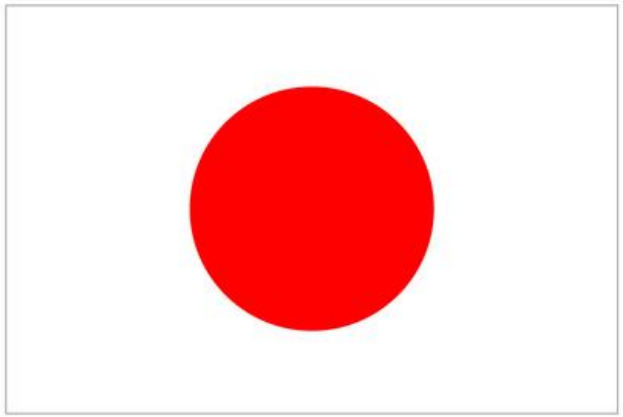
Note: Based on Caillat and Mueller (1996) "Observations: The Influence of Culture on American and British Advertising: An Exploratory Comparison of Beer Advertising." *Journal of Advertising Research*. 36(3), 79-88.

- **Where should Ferrero Group expand?**

CAGE Framework





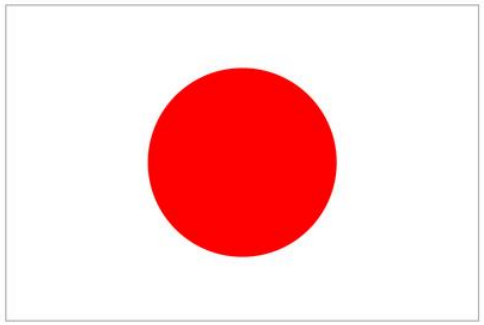


Source: Global Product Prices (2024); World Bank WDI (2024).

CAGE Framework

Some key factors for the chocolate industry's distances!



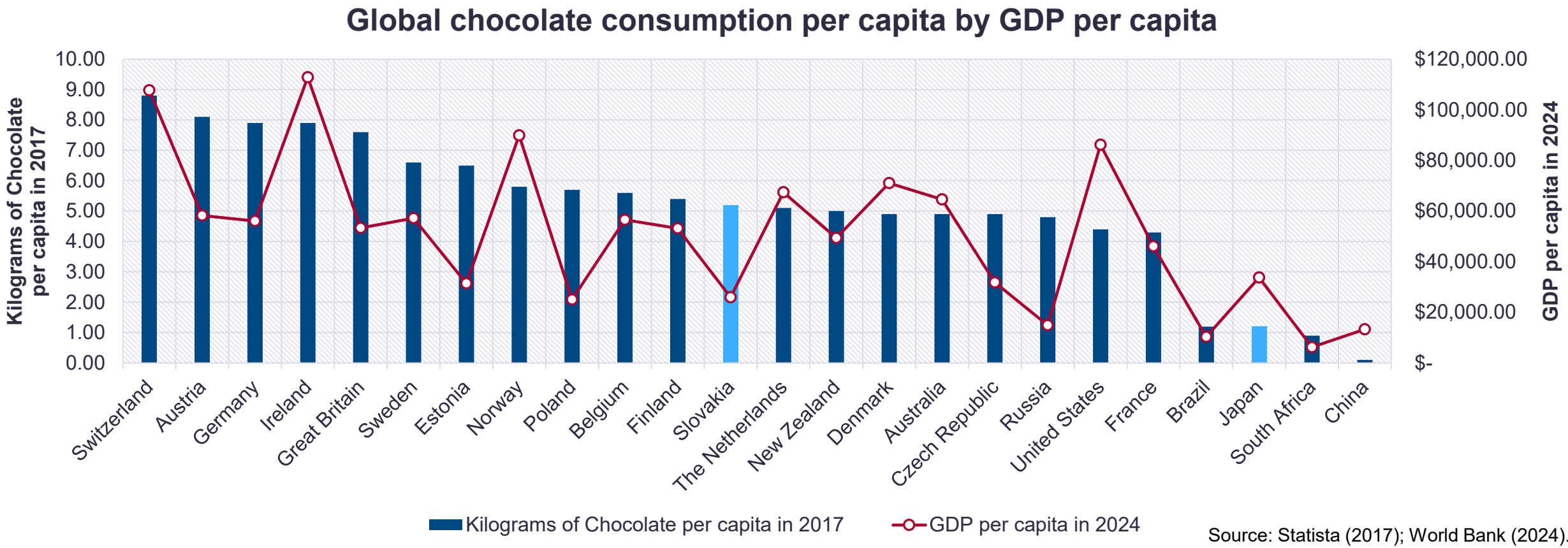


Cultural	Administrative	Geographic	Economic
• Taste preferences • Loyalty to local brands • Language (labeling, advertising) • Differences in consumption patterns (When? Where? Etc?) • Religion prohibitions	• Tax regime • Restrictions on sales and advertising activities • Membership in trade block • Colonial ties • Impact of immigrant community in early exports	• Shipping cost and time lag • Climate impacts on perishable product • Seasonality	• Disposable income differences • Channel structure (e.g., level or organized retail development) • Consumption per capita

CAGE Framework

CAGE should be done at the Industry Level!

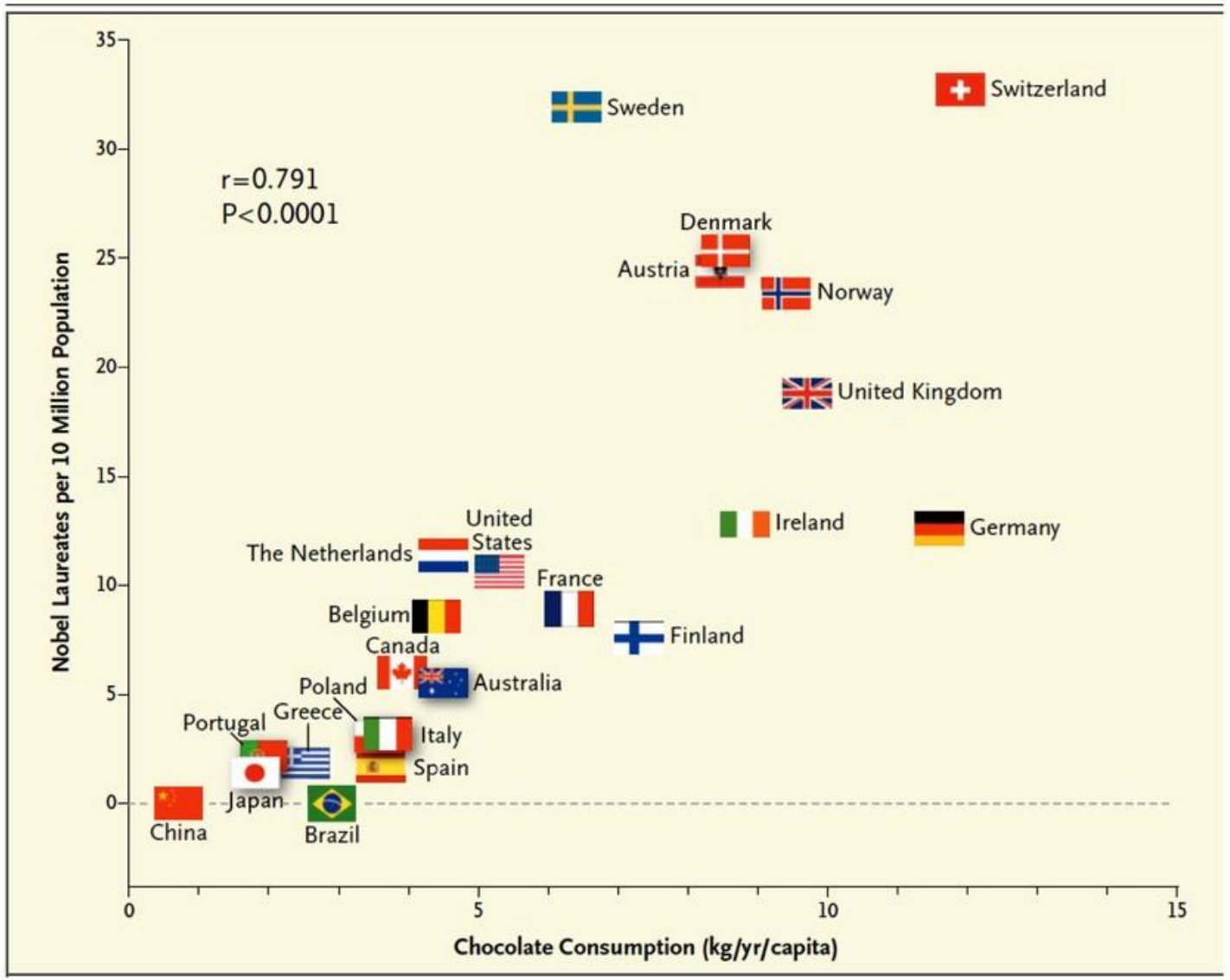
Slovakia has three-quarters of Japan's GDP per capita but consumes more than four times as much chocolate per capita a year.



Source: Statista (2017); World Bank (2024).

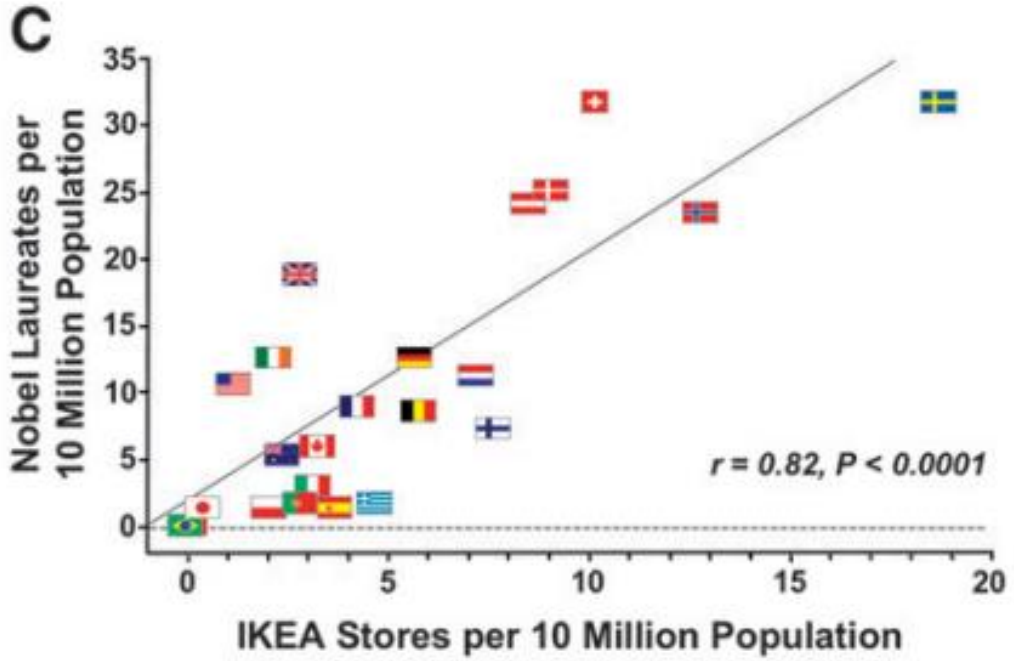
Correlation is not Causation!

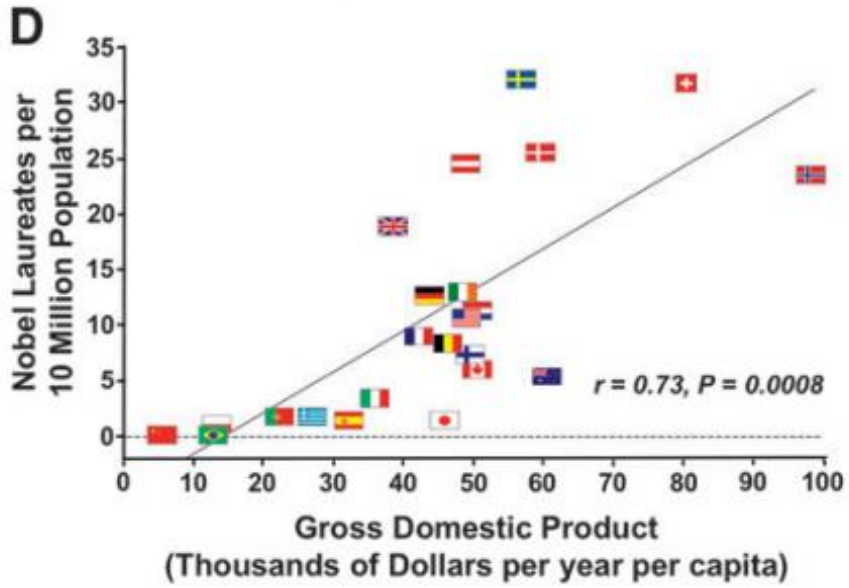
Messerli, F. H. (2012). *Chocolate consumption, cognitive function, and Nobel laureates.* New England Journal of Medicine, 367(16), 1562-1564.

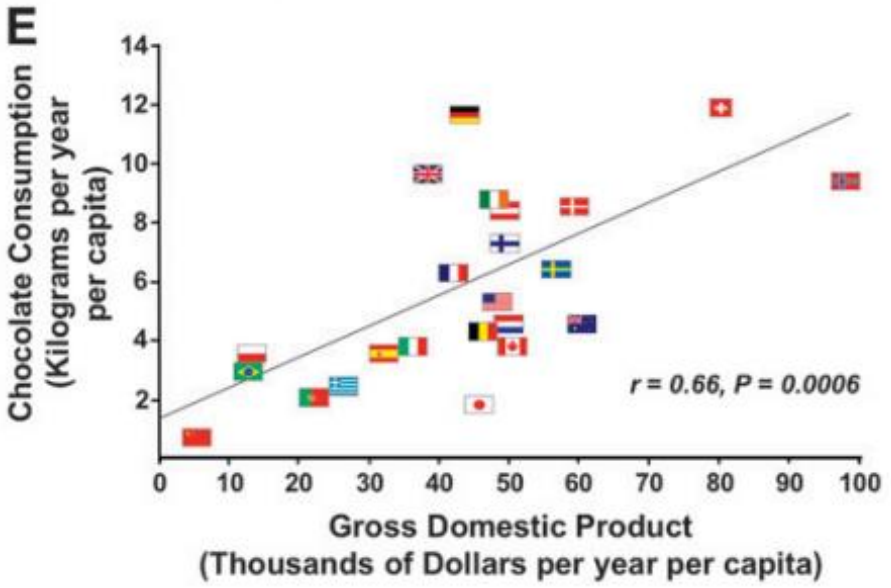


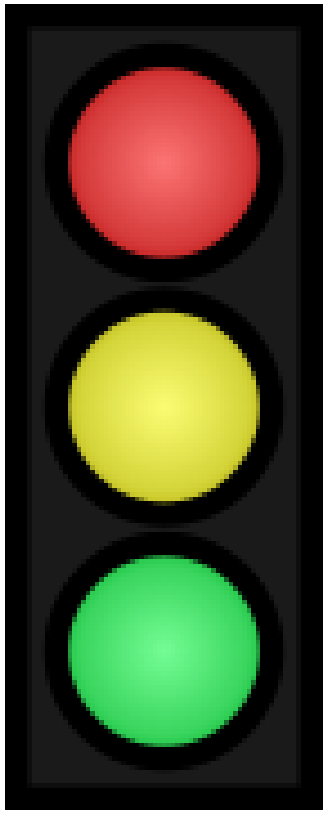
Omitted Variable Bias

Maurage, P., Heeren, A., & Pesenti, M. (2013). *Does chocolate consumption really boost Nobel award chances? The peril of over-interpreting correlations in health studies.* The Journal of Nutrition, 143(6), 931-933.









How should Ferrero expand?

Should Ferrero Acquire Turkish Oltan?

Jain, T. Hazra, J. (2016). *Ferrero Group: Securing Supply for Hazelnuts.* Indian Institute of Management Bangalore. Case Study 565



Flashcards

Nutella Peanut: First New Flavor in 60 Years, First Made in the US

In spring 2026 Ferrero started a $75M production line in Franklin Park, Illinois (about 50–65 jobs) for Nutella Peanut, the first new Nutella flavor in six decades and the first made in the US. It uses Oregon hazelnuts and peanuts from Georgia and other Southeastern states, and launched at Walmart and Target.

Sources: Food Dive and Business Facilities

Question: "Is putting peanuts in Nutella a product decision, a supply-risk decision, or a tariff decision?"

Framework Analysis: TCE + CAGE

TCE — Locational Asset Specificity: More than two-thirds of the world's hazelnuts grow on Turkey's Black Sea coast, so Ferrero is exposed to risks in one location (2025 crop failure: prices doubled). Swapping in US peanuts and Oregon hazelnuts lowers that specificity.

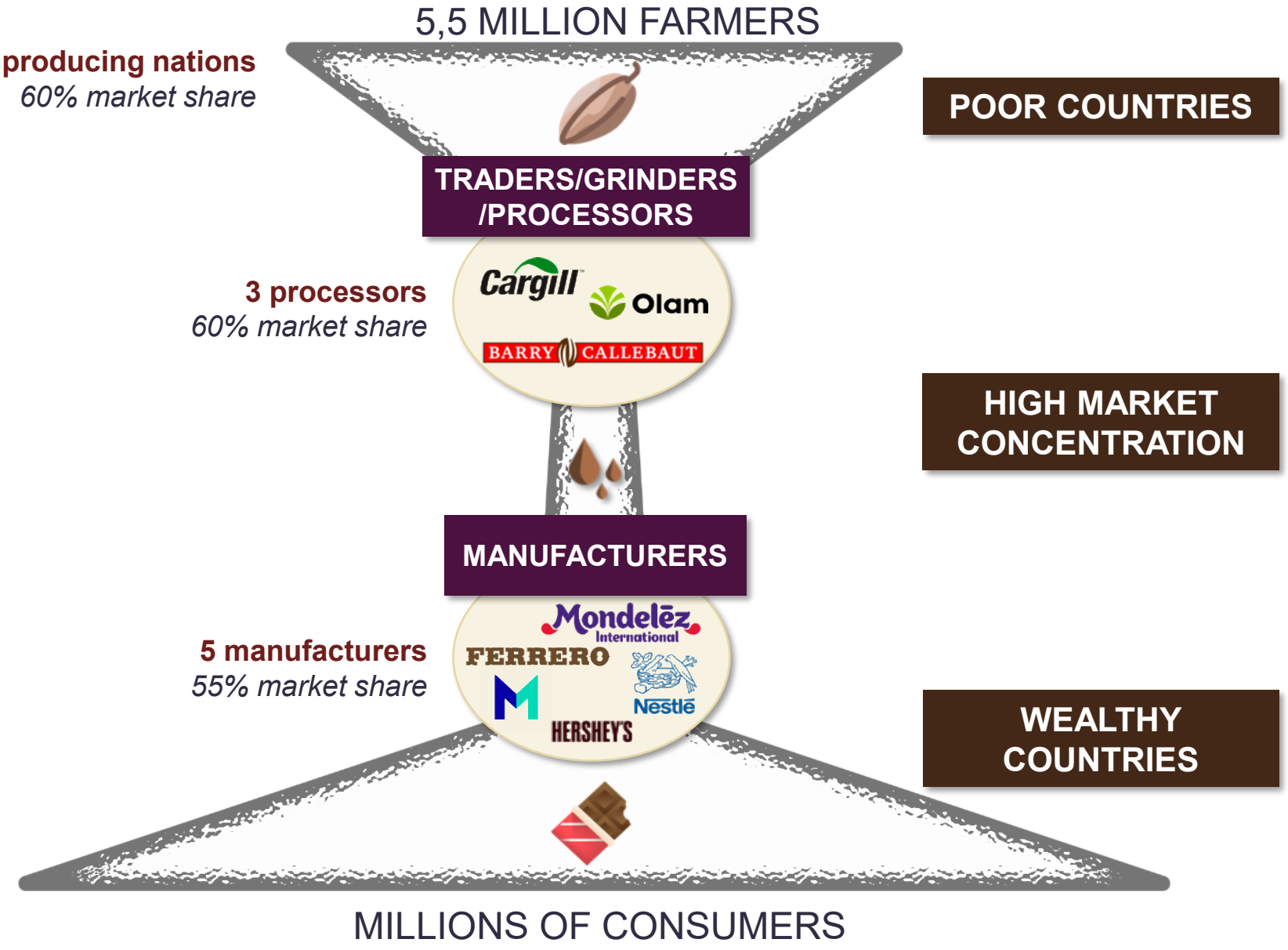
CAGE — Cultural Distance: Peanut butter is the American spread. Adapting the recipe to local taste (instead of only exporting the Italian one) closes cultural distance.

CAGE — Administrative Distance: Making it in Illinois hedges US tariffs.



https://www.youtube.com/watch?v=55rJhLkvJMo

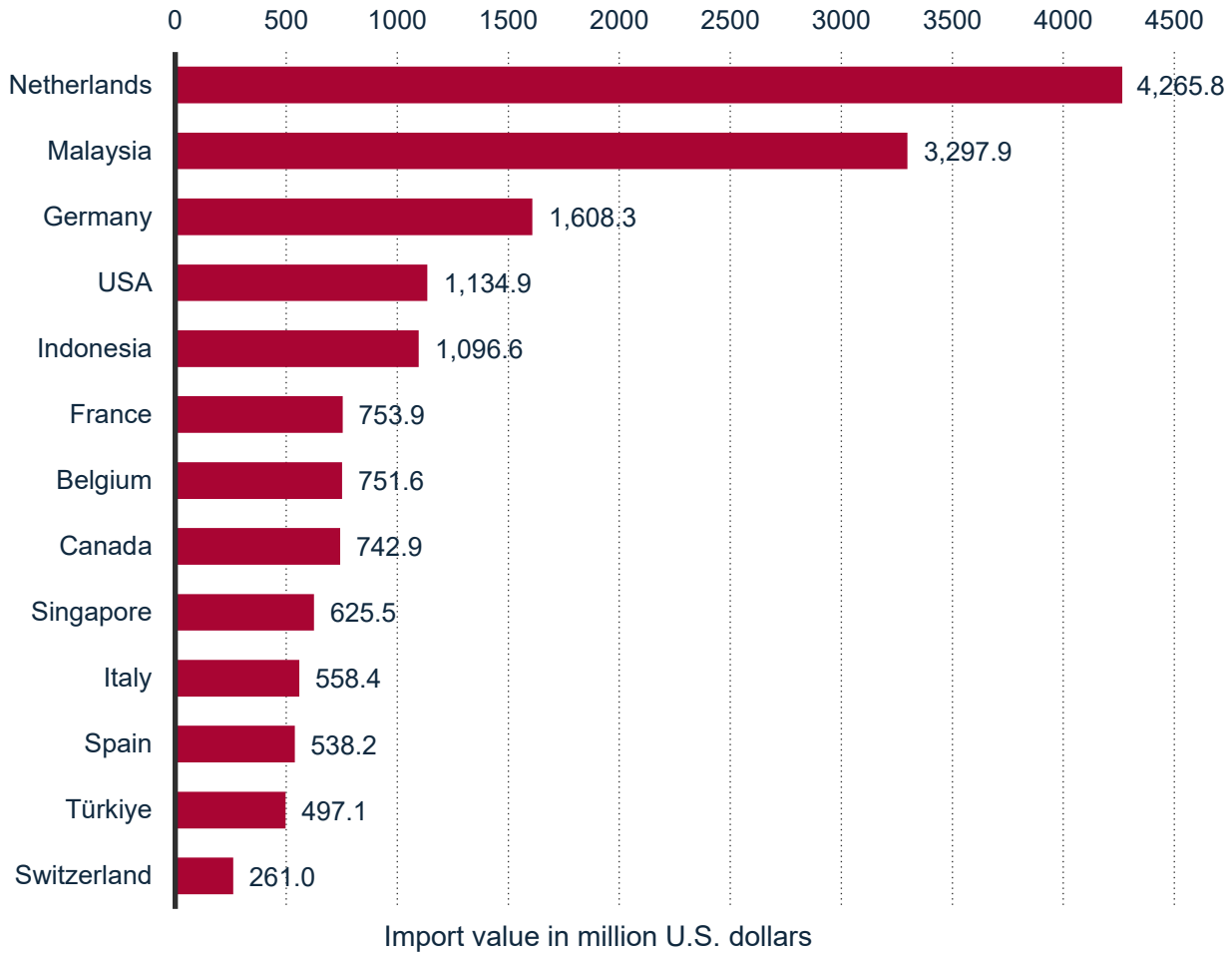
How about Cocoa? The Bean-to-bar Trajectory



Source: Van Wassenhove, Pot, Dewilde, & Breugem. (2021) Are Chocolate Eaters Really SDG Smart? INSEAD Case 6604.

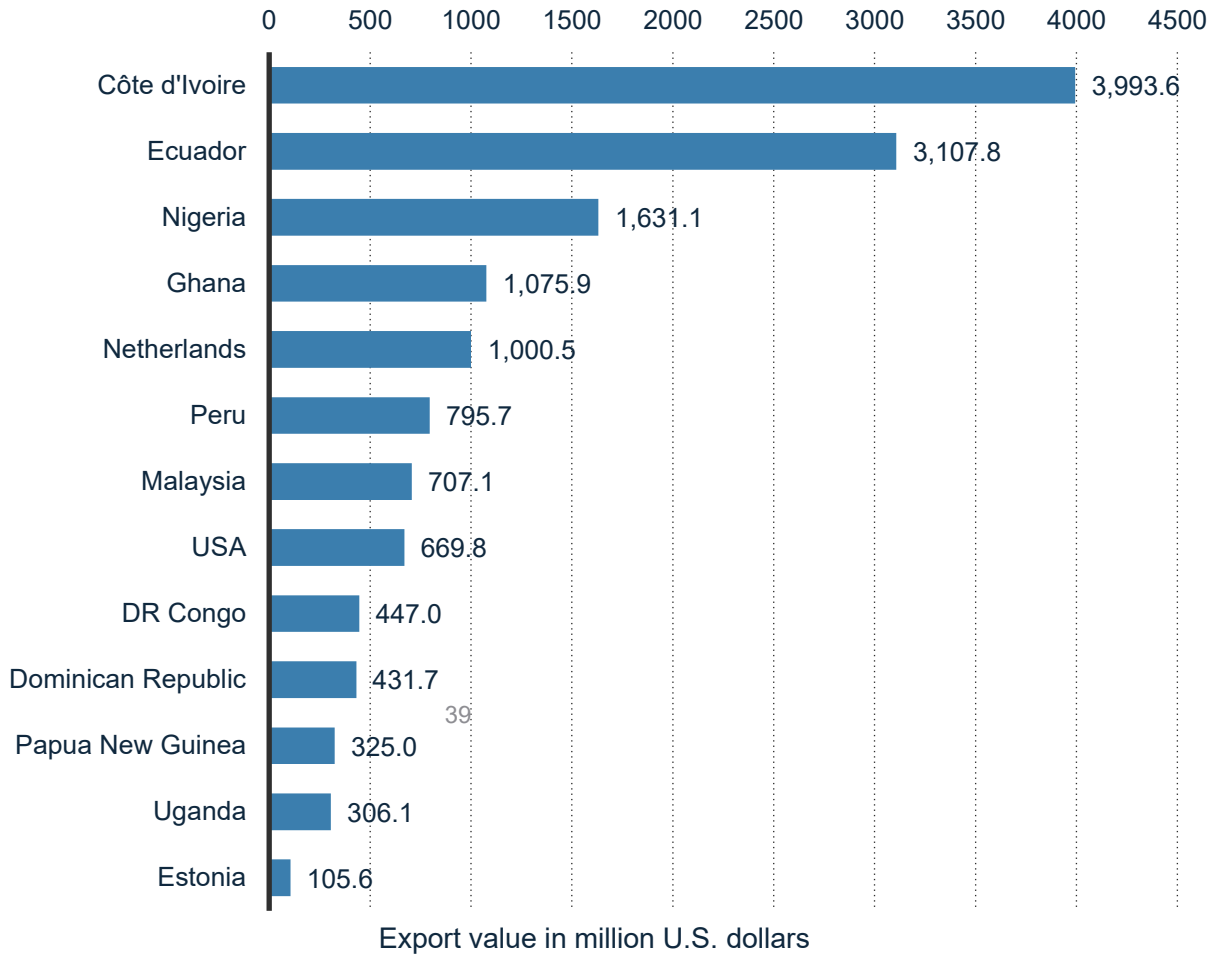
Cocoa and Chocolate Global Market: Import and Export

Leading **importers** of cocoa beans worldwide in 2024



Note: Worldwide; 2024; values as declared by the importing country. Source: UN Comtrade, HS 1801 (cocoa beans), accessed October 27, 2026.

Leading **exporters** of cocoa beans worldwide in 2024



Note: Worldwide; 2024; values as declared by the exporting country (Ghana reports $1.08 B; its partners report $1.46 B of imports from Ghana). Source: UN Comtrade, HS 1801, accessed October 27, 2026.

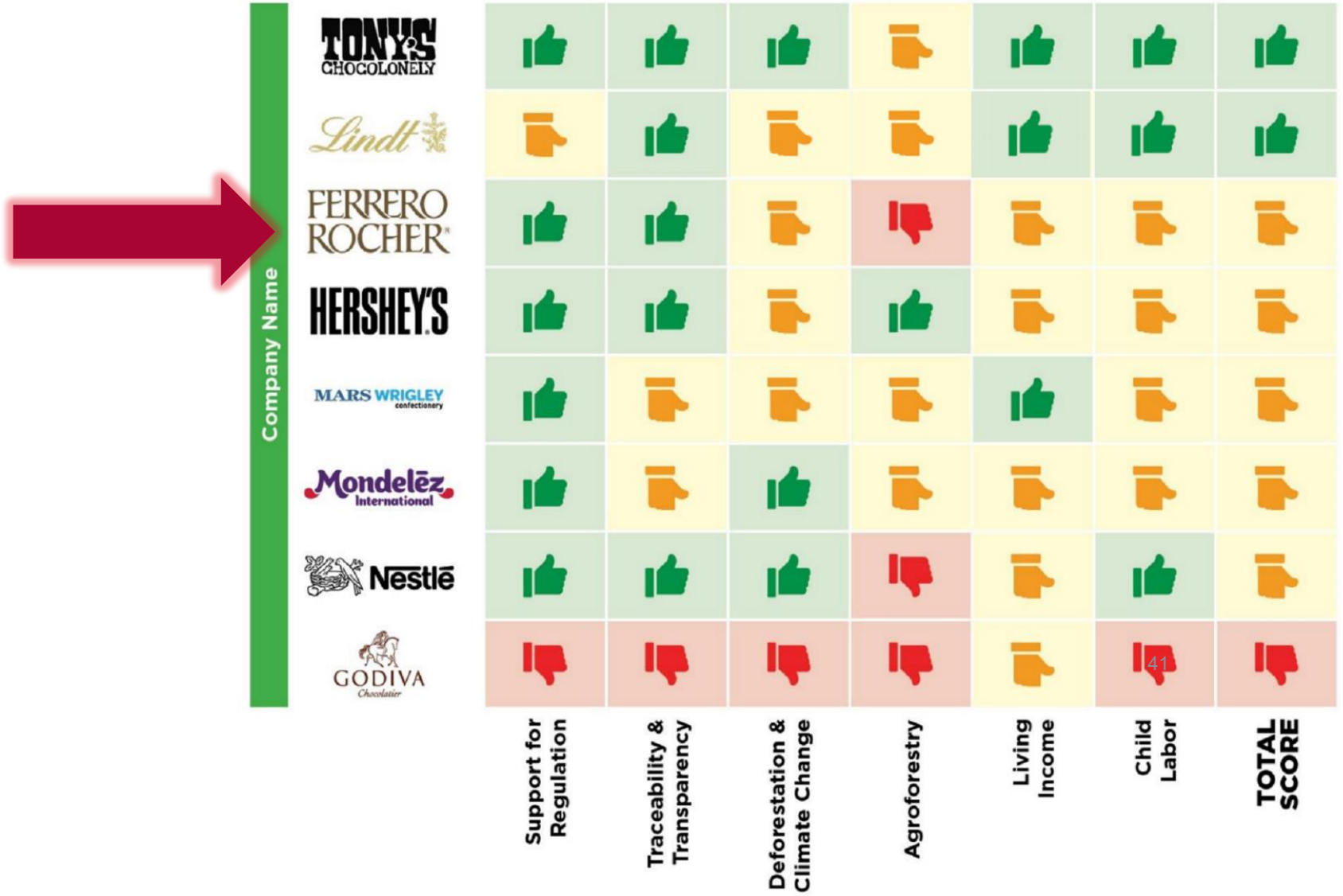
Adapted from Van Wassenhove et al. (2021), INSEAD Case 6604; data updated Oct 2026.



https://www.youtube.com/watch?v=eHDxy04QPqM

In-house sustainability programs compared

MIGHTY EARTH · Green America · BE SLAVERY FREE



Source: Van Wassenhove, Pot, Dewilde, & Breugem. (2021) Are Chocolate Eaters Really SDG Smart? INSEAD Case 6604.



“‘The industry [...] should pay a greater attention to the root causes of deforestation and child labour [...], i.e. poverty and landlessness; they should therefore increase substantially farmgate prices, contributing to a living income of the farmers.”

-- Michel Arrion,

Executive Director International Cocoa Organisation (ICCO)

Flashcards

Cocoa: From a 60-Year High to a Forecast Halving, and Weather Risk Is Back

Cocoa futures peaked near $13,000/ton in late 2024 (a 60-year record) on West African crop failures. The World Bank (April 2026) projects cocoa falling from about $7.80/kg in 2025 to about $3.80/kg in 2026 (−51%) as supply recovers; Ghana cut its farmgate price by about 30%. Futures then rebounded above $5,700/ton in August 2026 on weaker Ghana and Ivory Coast forecasts.

Sources: World Bank and Citi Newsroom

Question: “Both cocoa and hazelnuts had price shocks. Why did Ferrero integrate upstream in hazelnuts but not in cocoa? Should it?”

Framework Analysis: TCE + ADDING

TCE — Why no vertical integration in cocoa: Ferrero buys a small share of world cocoa (vs. about a third of Turkey’s hazelnuts). It uses a hybrid instead: long-term contracts plus 98% farm-level traceability.

N — Normalizing Risk: Two concentrated exposures (cocoa in West Africa, hazelnuts in Turkey). WK Kellogg and the better-for-you deals diversify away from both.

Key Takeaways

- Should we go abroad? **ADDING Value Framework**
  - How much value is added: Volume, Margin (Cost, WTP, Industry attractivity), Uncertainty/Risk, and Knowledge/Resources.
- Where should we go? **CAGE Framework**
  - Differences, not levels
  - Not “bad” or “good” markets; rather “close” or “far”
- How should we go? **TCE Framework**
- Fundamental aspect of global strategy is learning how to manage differences in order to build sustainable competitive advantage.
- **NEXT CLASS**
  - What are some of the uncertainties and risks of going abroad? **CIA (Comparative Institutional Analysis) Framework.**
    - *Navigating different institutional environments and dealing with corruption*

Looking Ahead: Institutional Environment

- Quiz opens at **5PM today** and closes in **72 hours**
  - **15 minutes to answer 3 questions** (open book)
  - Once you start quiz, you can't stop or start over
- **Next Class:**
  - Douglass North (1991) "Institutions" *Journal of Economic Perspectives*
  - Daron Acemoglu on Why Nations Fail. (MIT Channel on Youtube). Click here to watch.
  - Podcast (listen before class) "Is the U.S. Really Less Corrupt than China – and How About Russia?" (Freakonomics Radio Podcast, Episode 481). Click here to listen.

    QUESTIONS
    - *What are "institutions" according to North (1991)? Define.*
    - *What explains the relationship between settlers' mortality in the colonial period and countries' current economic development?*
    - *What are the different types of "corruption" described by Yuen Yuen Ang in the Freakonomics episode?*

Thank you.

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